

**IN THE UNITED STATES BANKRUPTCY COURT
FOR THE DISTRICT OF PUERTO RICO**

IN THE MATTER OF:

GENERAL ORDER 26-01

**GENERAL ORDER ADOPTING LOCAL
BANKRUPTCY RULE 9019-1 AND 9019-2**

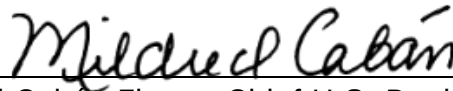
GENERAL ORDER

On April 1st, 2026, this court issued notice that it proposed the adoption of Local Bankruptcy Rules 9019-1 and 9019-2. The court has carefully considered the comments received. The United States Bankruptcy Court for the District of Puerto Rico gives notice of the adoption of P.R. Local Bankruptcy Rules 9019-1 and 9019-2. A copy of the rules is hereby attached. The adoption of these rules shall be effective immediately.

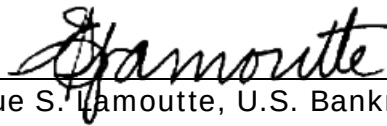
The local bankruptcy rules and forms can be accessed and viewed on the bankruptcy court's website located at www.prb.uscourts.gov.

BY ORDER OF THE COURT.

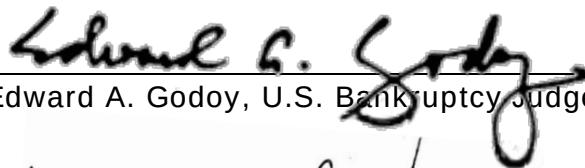
In San Juan, Puerto Rico this 5th day of August, 2026.



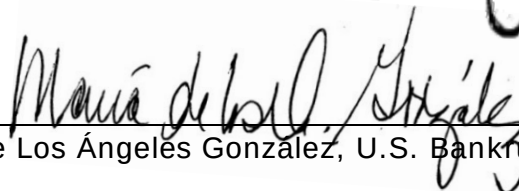
Mildred Cabán Flores, Chief U.S. Bankruptcy Judge



Enrique S. Lamoutte, U.S. Bankruptcy Judge



Edward A. Godoy, U.S. Bankruptcy Judge



María de los Angeles González, U.S. Bankruptcy Judge

Rule 9019-1:
Settlement and Mediation

(a) Authorization: The court encourages the parties to meet and consult with each other to achieve a settlement. Pursuant to 28 U.S.C. §§ 651, 652, and 653, as amended by the Alternative Dispute Resolution Act of 1998, the use of mediation as an alternative dispute resolution process in all adversary proceedings, contested and other matters, is authorized.

(b) Obtaining Mediation.

(1) Upon joint motion, or oral request, parties may request, but are not entitled to, mediation.

(2) The court may order mediation sua sponte.

(c) Order to Mediate.

(1) In any adversary proceeding, contested or other matter, mediation may only be commenced upon the entry of an order to mediate by the presiding judge. An order to mediate shall, at a minimum, set forth the following:

(A) the individual appointed to act as mediator;

(B) if the parties selected a non-judicial mediator or neutral, the proposed hourly compensation will be subject to court approval;

(C) unless otherwise ordered by the court, that mediation processes and procedures and the duties of the parties shall be determined by the court-appointed mediator; and

(D) that the parties or the mediator provides a report to the court of the results of the mediation immediately upon the conclusion of the mediation, and not later than fourteen (14) days thereafter.

(d) Status Report: The mediator shall file a status report with the court every thirty (30) days while the mediation is ongoing.

(e) Settlement Judge.

(1) An active or recall status United States Bankruptcy Judge from any judicial district may act as a settlement judge to assist in the possible resolution of disputes via a judge-hosted settlement conference.

(2) The decision regarding appointment of a settlement judge resides exclusively with the presiding judge, and such appointment is effective only upon entry of the order to mediate.

(f) Non-Judicial Mediators or Neutrals.

(1) The parties, by consent, may request the appointment of a non-judicial mediator or neutral.

(2) Appointment of a non-judicial mediator is subject to approval by the presiding judge, and such appointment is effective only upon entry of the order to mediate.

(3) Within fourteen (14) days of appointment, a non-judicial mediator shall file with the court a disclosure statement identifying: (A) any relationship, financial interest, or prior representation that could constitute a conflict of interest; and (B) any prior service as mediator or arbitrator in matters involving any party or their counsel. The duty to disclose any conflict of interest remains during the length of the mediation. The presiding judge may disqualify or replace a mediator based upon such disclosure.

(g) Communications with Mediators Prior to Entry of Order to Mediate.

(1) **Settlement Judges:** Prior to entry of the order to mediate, parties to the mediation shall not communicate with a settlement judge about any matters pertaining to mediation.

(2) **Non-Judicial Mediators:** Prior to entry of the order to mediate, parties to the mediation may communicate with non-judicial mediators only for the purpose of selection and proposed terms of engagement and compensation of a non-judicial mediator for appointment by the court.

(h) Required Settlement Authority: A settlement judge to whom a case has been referred may require that counsel and/or a party representative with full settlement authority attend the mediation at any time the settlement judge considers appropriate.

(i) Failure to Attend or Participate in Good Faith.

(1) The mediator shall report to the court the failure of any party to attend the mediation conference and shall report to the court the failure of any party to participate in the mediation process in good faith.

(2) Upon motion of any party or the mediator, or sua sponte, the court may, after notice and an opportunity to be heard, impose appropriate sanctions on any party or counsel who fails to participate in good faith, including but not limited to:

(A) an award of reasonable attorneys' fees and costs incurred as a result of the failure;

(B) assessment of the mediator's fee against the offending party; and

(C) such other relief as the court deems just.

(j) Compensation of Non-Judicial Mediators or Neutrals: No mediator or neutral may be

compensated by contingent fee. Any compensation of a non-judicial mediator or neutral from the estate shall be subject to court's approval after notice and a hearing or as the court otherwise orders, and shall be evaluated under the standards of 11 U.S.C. § 330 to the extent applicable.

(k) Effect of Mediation on Proceedings: Unless otherwise ordered by the court, the appointment of a mediator or neutral shall not operate to postpone or stay the scheduling of any case or controversy nor shall such appointment be grounds for the continuance of a previously scheduled trial or hearing date, or the extension of any deadlines previously scheduled by the court. The assignment of a matter to mediation does not relieve the parties to that matter from complying with applicable provisions of the Code, the Fed. R. Bankr. P. or these Local Rules. Also, unless otherwise ordered by the court, the assignment to mediation does not delay or stay discovery, pretrial hearing dates or trial schedules.

(l) Disclosure of Mediation Communications and Writings: The substance of communications and writings in the mediation process shall not be disclosed to any person other than participants in the mediation process; provided, however, that nothing herein shall modify the application of Federal Rule of Evidence 408 nor shall use in the mediation process of an otherwise admissible document, object, or statement preclude its use at trial. Furthermore, unless otherwise agreed to by the party, communications and writings between a party and the mediator shall be considered privileged and confidential and shall not be subject to discovery. No party shall be deemed to have waived the attorney-client or work-product privileges by communicating privileged information to the mediator.

(m) Other Governing Law: Nothing contained in this rule shall in any manner negate or be in abrogation of any other source of authority for conducting mediation, whether by statute, rule, or otherwise.

Rule 9019-2:

Appointment of Settlement Judges

(a) Appointment Order. Upon a joint motion, oral request, or sua sponte decision, the judge presiding over a particular adversary proceeding, bankruptcy case, or other bankruptcy-related matter may appoint another available active or recall status United States Bankruptcy Judge from any judicial district to act as a settlement judge to assist in the possible resolution of disputes via a judge-hosted settlement conference. The details regarding the appointment of a particular settlement judge will be specified in an appointment order issued by the presiding judge.

The appointment order shall specify: (1) the identity of the settlement judge; (2) the scope of the dispute(s) to be addressed; (3) any pre-conference submission requirements.

(b) Process for Appointment.

(1) Any request for a judge-hosted settlement conference must first be proposed to the presiding judge.

(2) If the parties propose the appointment of a particular judge to host a settlement conference

(i.e., serve as a settlement judge), then the presiding judge will contact the potential settlement judge to confirm that such judge is willing and able to serve as a settlement judge.

(3) If a proposed settlement judge declines to serve or is unavailable, the presiding judge may either propose an alternative judge or deny the request without prejudice to renewal.

(c) Judicial Immunity and Other Protections.

(1) Any active or recall status bankruptcy judge appointed as a settlement judge will be so appointed because of a judicial position as, and to act in the specific capacity as, a United States Bankruptcy Judge. By serving as a settlement judge, such judge performs judicial duties.

(2) Accordingly, such judge and all persons assisting a settlement judge will have full, unqualified judicial immunity, as well as all other privileges, immunities, and protections of a United States Bankruptcy Judge and judiciary employees, regarding any matters arising from or related to such judge's role as a settlement judge.

(3) All parties participating in the settlement process will automatically:

(A) waive and be unable to assert any claims or causes of action against the settlement judge or any court employees assisting with the settlement process that arise from or relate to the settlement process; and

(B) except as may be required by otherwise applicable disclosure law, waive and be unable to seek to compel from the settlement judge or from any court employees assisting with the settlement process any oral or written testimony, document production (including, without limitation, regarding any records, reports, summaries, notes, communications, or other documents received or made by the settlement judge or any court employees while serving in such capacity), or other participation whatsoever in any litigation, judicial, arbitral, or other proceeding of any kind.

(4) The settlement judge may, in the settlement judge's sole discretion, require that the parties sign an agreement memorializing the above understandings before agreeing to serve as a settlement judge. For parties appearing pro se, any such agreement shall be presented in plain language, and the settlement judge shall confirm on the record that the pro se party understands its terms before it is executed.

(d) Disqualification. No judge may serve as a settlement judge if that judge would be disqualified (a) under 28 U.S.C. § 144 if that judge were a judge presiding over the matter or proceeding or (b) under 28 U.S.C. § 455 if that judge were a justice, judge, or other judicial officer presiding over the matter or proceeding, in each case unless the parties consent in writing after disclosure.